MARKETBEAT PHOENIX
MULTIFAMILY Q4 2025

CUSHMAN & WAKEFIELD

MARKET FUNDAMENTALS

	YOY Chg	Outlook
12.8% Vacancy Rate	▲	—
16.6K Net Absorption, units	▼	▼
$1,584 Asking Rent, Per Unit *(Overall, All Property Classes)*	▼	—

ECONOMIC INDICATORS

	YOY Chg	Outlook
2.5M Phoenix Employment	▲	▲
3.6% Phoenix Unemployment Rate	▲	▲
1.6% Phoenix Household Growth Rate	▼	▲

Source: BLS

Metro- and city-level employment data as of Q3 2025; U.S. averages Oct. and Nov. data due to delays from government shutdown

ECONOMY: GROWTH CONTINUES TO OUTPACE MOST METROS

In 2025, the Phoenix Metro reported an employment level of 2.5 million, after adding 31,200 jobs over the last year. While the unemployment rate bumped up from 3.3% to 3.6% during that period, it remained well-below the national average of 4.6% and ranked fourth-lowest among major U.S. metros with total employment of at least 2 million jobs. Strong wage growth continued to draw new entrants into the labor force, with the median household income increasing by 4.0% year-over-year (YOY) to $91,800. Population growth also doubled the national average, however, the 1.0% YOY increase marked a deceleration from previous quarters. While GDP growth also slowed slightly from last year, Phoenix's 2.2% YOY gain through 2025 remained well-ahead of the national rate, underscoring the Metro's continued economic strength.

SUPPLY & DEMAND: ROBUST DEMAND OFFSETS SUPPLY PRESSURE

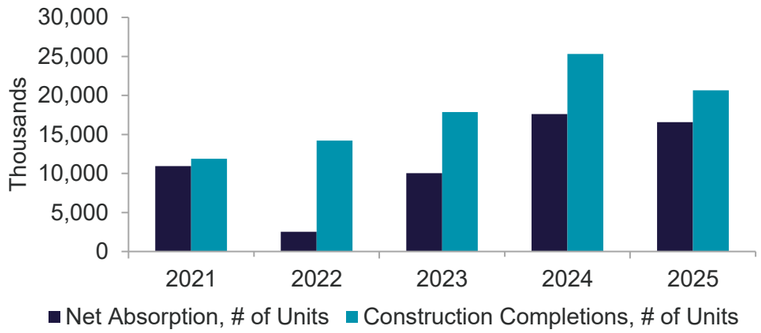
Multifamily net absorption in Phoenix exceeded 3,500 units for the eighth consecutive quarter, bringing total 2025 absorption to 16,569 units. While this trails 2024's all-time high, it still ranks as the second-strongest year on record and sits 171% above the historical annual average of 6,100 units. This performance mitigated the impact of the Metro's robust delivery slate on market dynamics, with vacancy rising by just 30 basis points (bps) YOY to 12.8%. Submarkets that led the Metro's absorption in 2025 included South West Valley (2,942 units), West Maricopa County (1,965 units) and East Valley (1,944 units).

Developers delivered 20,645 units in 2025, marking an 18% decline compared to 2024's record-setting total. Completions were concentrated in the South West Valley and Downtown Phoenix submarkets, which together accounted for 6,690 units. Looking ahead, deliveries are expected to shift toward the East Valley submarket, which currently leads the Metro with 3,357 units under construction.

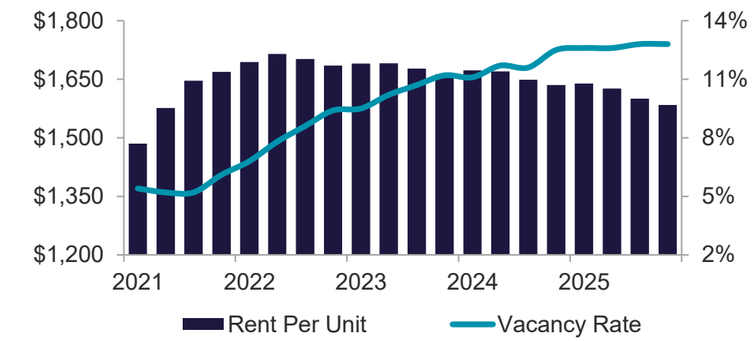
PRICING: ASKING RENTS REMAIN ON GRADUAL STABILIZATION PATH

The overall market is continuing to adjust following 16% rent jump in 2021, with the average asking rate moderating for a third straight year to $1,584 per unit in 2025. However, with new supply gradually abating and absorption remaining robust, the outlook for overall rents is starting to stabilize. Likely aiding on the demand side, the average apartment concession rose to 2.3% of yearly effective rent in Q4 2025, which is nearly double the long-term average of 1.2%.

DEMAND / DELIVERIES



OVERALL VACANCY & ASKING RENT RENT



Source: CoStar

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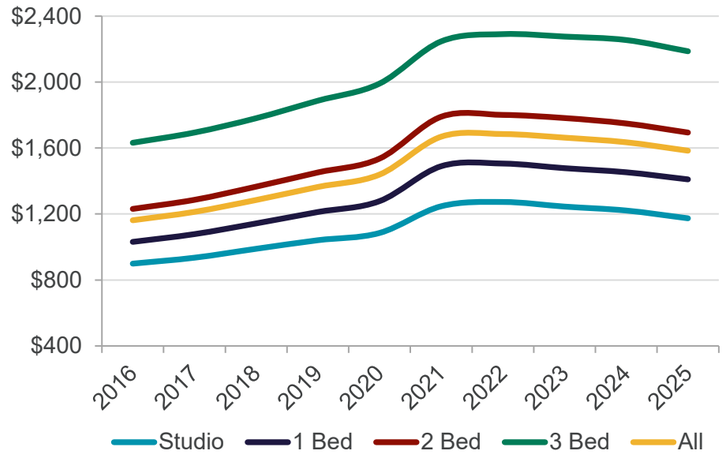
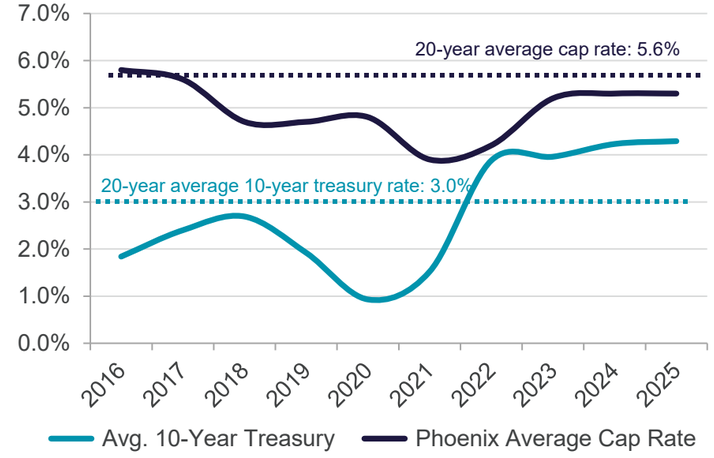
AVERAGE ASKING RENT PER UNIT HISTORY (1)

ALL UNIT TYPES HAVE RECORDED RATE REDUCTIONS SINCE 2023. ON AVERAGE, PRICES HAVE DECREASED 4.8% IN TWO YEARS.



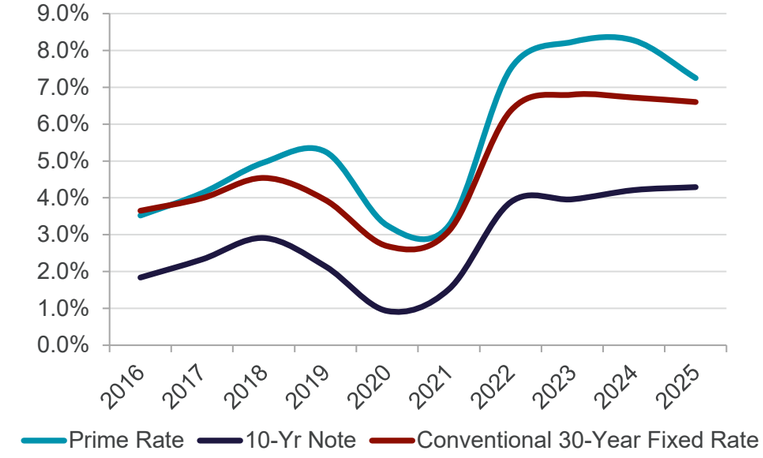
AVERAGE CAP RATE (2)

THE 10-YEAR U.S. TREASURY RATE IS ABOVE THE HISTORICAL AVERAGE OF 3.0% AND THE METRO PHOENIX CAP RATE IS BELOW THE HISTORICAL AVERAGE OF 5.6%



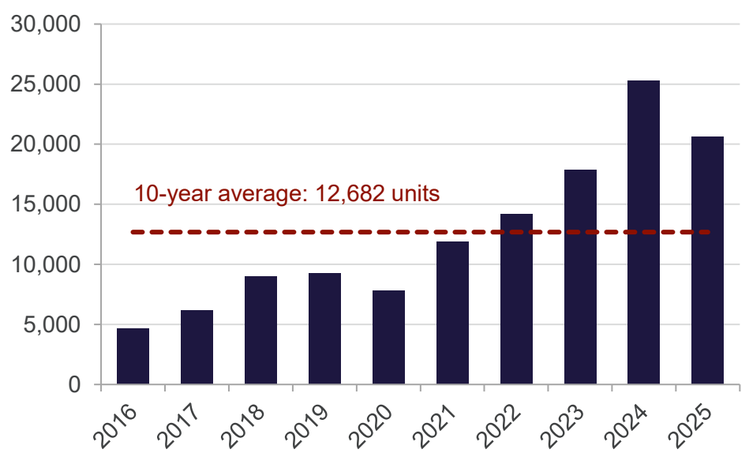
INTEREST RATES (3)

FEDERAL FUNDS TARGET RATE FORECASTED TO EASE BY 50 BASIS POINTS THROUGHOUT 2026



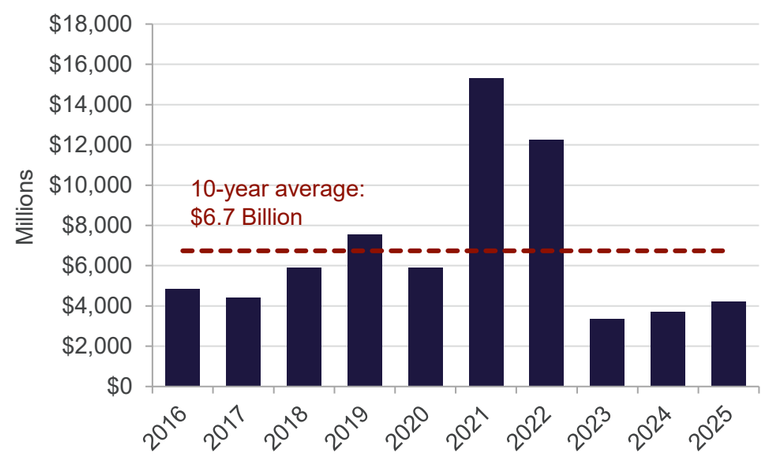
NEW INVENTORY (4)

TOTAL NUMBER OF NEW INVENTORY UNITS COMPLETED IN 2025 IS 162% OF THE 10-YEAR ANNUAL AVERAGE OF 12,682 UNITS



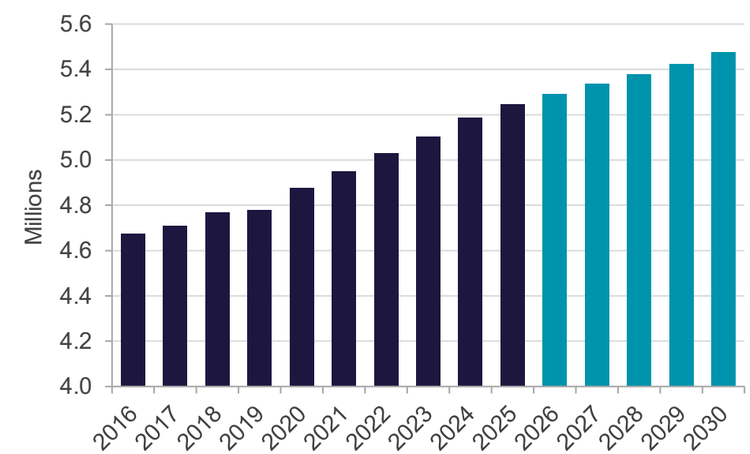
SALES TRANSACTION VOLUME (5)

TOTAL TRANSACTION VOLUME OF 95 PROPERTIES IN 2025 IS 63% OF THE 10-YEAR ANNUAL AVERAGE OF $6.7 BILLION



POPULATION (6)

POPULATION IS PROJECTED TO GROW SIGNIFICANTLY THROUGH 2030



(1) CoStar, Cushman & Wakefield
(2) RCA, Federal Reserve Board, Cushman & Wakefield
(3) Federal Reserve Board, Wells Fargo
(4) CoStar
(5) CoStar
(6) Moody's & U.S. Census Bureau

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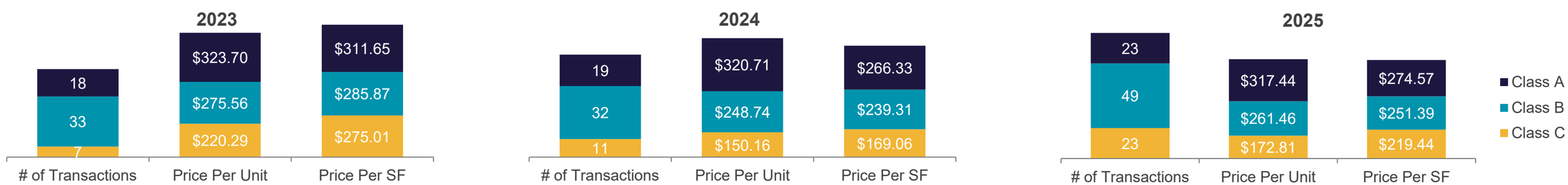
MARKET STATISTICS

SUBMARKET	INVENTORY (UNITS)	YTD DELIVERIES (UNITS)	YTD % INVENTORY GROWTH	UNDER CNSTR (UNITS)	YTD NET ABSORPTION (UNITS)	VACANCY RATE	YOY VACANCY RATE CHANGE (BPS)	AVG ASKING RENT / UNIT	YOY % ASKING RENT GROWTH
Gilbert	18,098	2,208	13.9%	531	1,407	12.4%	330	$1,735	-2.5%
Camelback	7,904	-	0.0%	341	-120	9.3%	150	$1,568	-3.4%
Downtown Phoenix	36,441	3,173	8.9%	2,204	1,604	14.9%	280	$1,598	-3.6%
Chandler	30,594	162	0.5%	885	455	8.4%	-100	$1,663	-3.3%
Deer Valley	38,149	2,711	7.6%	2,012	670	14.6%	460	$1,493	-3.8%
North Phoenix	40,093	1,368	3.5%	1,952	461	11.7%	190	$1,436	-3.6%
Old Town Scottsdale	12,723	260	2.1%	190	93	7.4%	120	$1,884	-2.0%
Pinal County	5,101	1,215	31.3%	1,349	710	31.2%	330	$1,532	-0.9%
North Scottsdale	19,669	1,008	5.4%	694	824	9.4%	50	$2,229	-0.3%
South West Valley	53,541	3,517	7.0%	2,278	2,942	15.6%	10	$1,415	-4.7%
South Phoenix	11,850	830	7.5%	680	1,216	15.7%	-470	$1,602	-2.1%
Tempe	43,668	333	0.8%	2,852	1,065	9.6%	-180	$1,614	-4.0%
West Maricopa County	7,783	1,727	28.5%	799	1,965	28.6%	-1,210	$1,780	-2.5%
East Valley	46,583	1,521	3.4%	3,357	1,944	11.2%	-130	$1,500	-2.3%
North West Valley	18,726	612	3.4%	-	1,333	14.1%	-450	$1,483	-1.5%
MARKET	**390,923**	**20,645**	**5.5%**	**20,124**	**16,569**	**12.8%**	**30**	**$1,584**	**-3.1%**



KEY SALE TRANSACTIONS Q4 2025

PROPERTY	SUBMARKET	SELLER/BUYER	Units	PRICE / $ PER UNIT
SolVida Central	Tempe	Cortland / GL Capital Partners	368	$88.0M / $239,130
Sol38 by Liv	South Phoenix	Rockefeller Group / Liv Communities	360	$52.5M / $145,771
The Morrison	East Valley	Sheiner Group / InTrust Property Group	337	$59.6M / $176,855
Konrad	Downtown Phoenix	Camden Property Trust / ColRich	332	$77.0M / $231,928
The Quincy at Kierland	North Scottsdale	Embrey Partners / Stockdale Capital Partners	266	$110.3M / $414,474

Source: CoStar

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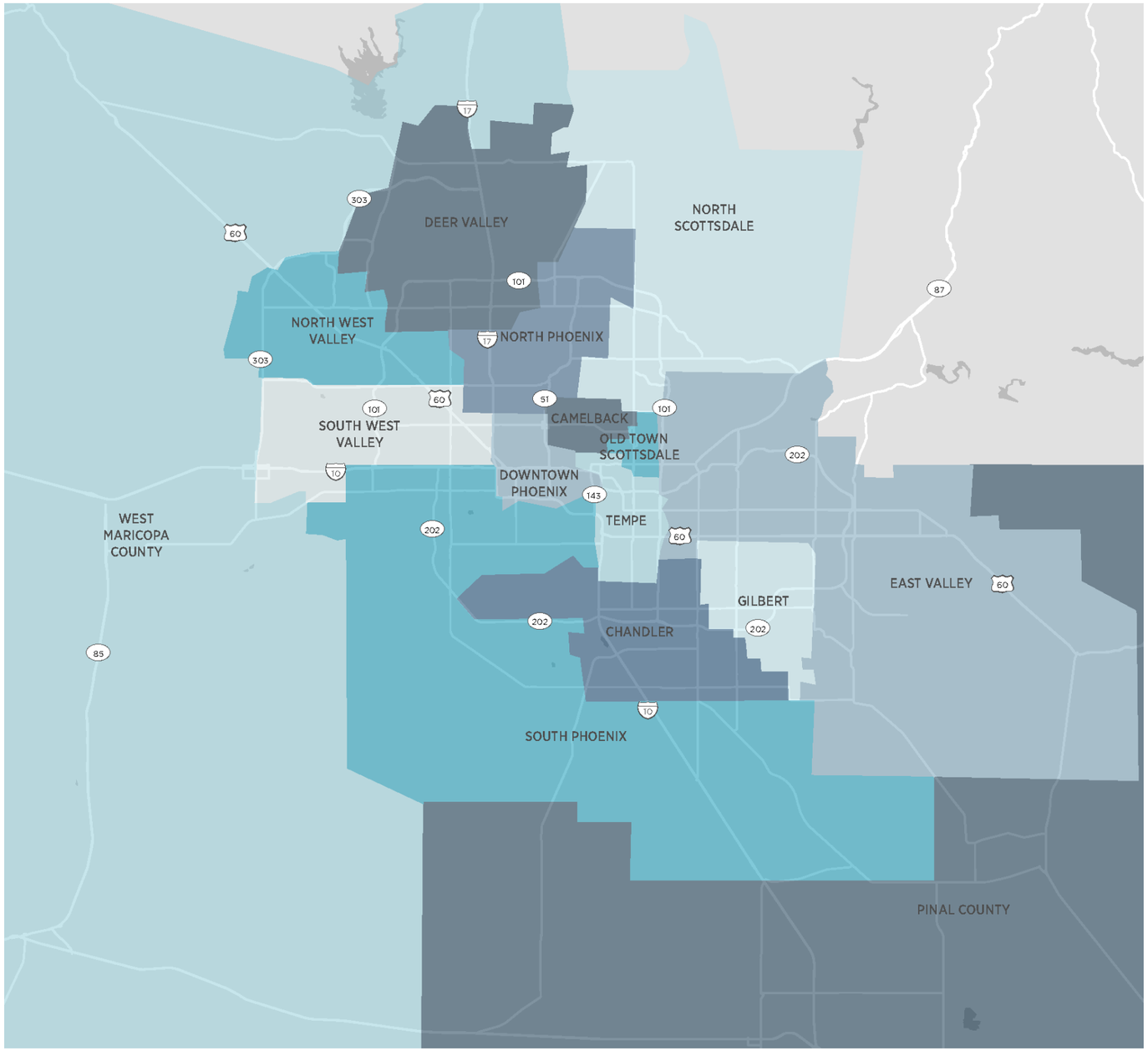
MULTIFAMILY SUBMARKETS



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ABOUT CUSHMAN & WAKEFIELD

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